APEX TERMINAL | EQUITY RESEARCH

RELIANCE.NS | BUY | 12M outlook

RELIANCE.NS | Reliance Industries Limited | Energy | Diversified Oil Gas & Chemicals

NSE (India) | INR | 12M outlook | report date 2026-10-26

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SYNTHETIC DATA - NOT FOR INVESTMENT USE

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Investment Summary

RATING	TARGET (12M)	IMPLIED UPSIDE	LAST PRICE
BUY	21,656.52 INR	+169.6%	8,032.50 INR

BUY | 12M | target 21,656.52 INR vs last close 8,032.50 INR (169.6% upside)

Reliance Industries Limited (RELIANCE.NS, NSE) operates in the Energy sector (Diversified Oil Gas & Chemicals) and last closed at 8,032.50 INR, inside a 52-week range of 5,525.00-8,925.00 (last close at 74% of the range). The company carries a market capitalisation of 1.06T INR. It employs approximately 389,414 people. Our 12M view is BUY with a target of 21,656.52 INR, which screens materially undemanding on our base case. The base case compounds revenue from 510.00B INR (last reported period) to 1.05T INR over 5 forecast years - a 15.4% CAGR - while the EBITDA margin moves from 36.7% in the first forecast year to 36.7% in the final year. Final-year free cash flow of 225.46B INR equals 58.8% of EBITDA, a 21.6% free-cash-flow margin that supports reinvestment and any capital returns. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 3.22T INR and equity value of 3.25T INR, implying 21,656.52 INR per share. The terminal value contributes 79.5% of enterprise value, so long-run assumptions dominate the estimate. At the current market price of 8,032.50 INR the implied WACC is 17.82% versus our stated 8.50% - the market demands a higher return than our stated cost of capital. On the latest reported balance sheet, net debt stands at -25.50B INR (-0.14x last-reported EBITDA), with return on invested capital at 27.7% and return on equity at 25.5%.

Company & Industry

Market cap	1.06T INR
Employees	389,414
Last close	8,032.5 INR
52-week range	5,525.00 - 8,925.00
Last reported period	2025-12-31

Business overview

Operates across refining, petrochemicals, retail and digital services with integrated energy-to-consumer operations. Every figure in this profile is generated deterministically in this browser for RELIANCE.NS.

Industry context

Commodity price and volume splits, reserves and project pipelines are not available; cyclicality is discussed only through reported revenue and margin history. Sector-specific metrics a professional energy note would track: Revenue and margins (available); Working-capital intensity (available); Commodity price exposure (unavailable - no realised-price or volume split in the dataset); Reserves / production volumes (unavailable - not disclosed in the dataset); Project/asset pipeline (unavailable - not disclosed in the dataset).

Sector metrics a professional note would track

- Revenue and margins: available
- Working-capital intensity: available
- Commodity price exposure: unavailable - no realised-price or volume split in the dataset
- Reserves / production volumes: unavailable - not disclosed in the dataset
- Project/asset pipeline: unavailable - not disclosed in the dataset

Financial Statements - Reported History

Financial performance

Reported coverage spans 2022-2025 (4 annual periods). In 2025 revenue was 510.00B INR (15.4% year on year), with gross margin 63.3%, operating margin 30.0%, EBITDA margin 36.7% and net margin 23.3%. Reported EBITDA was 187.00B INR and net income was 119.00B INR, with diluted EPS of 793.05 INR. Revenue moved by 68.00B INR (an increase) versus 2024, which on the reported statements reflects volume/mix and pricing in aggregate; the dataset does not decompose the change. EBITDA moved by 29.75B INR (an increase) over the same period. Return on invested capital was 27.7%, return on equity 25.5% and return on assets 16.5% in 2025. The latest balance sheet carries net debt of -25.50B INR with a current ratio of 1.94. Free cash flow in the latest period was 110.50B INR; operating cash flow was not available.

Income statement

Period	Revenue	Gross profit	Operating income	EBITDA	Net income	EPS
2025	510.00B	323.00B	153.00B	187.00B	119.00B	793.05
2024	442.00B	276.25B	127.50B	157.25B	99.45B	663.00
2023	382.50B	238.00B	110.50B	136.00B	85.85B	572.05
2022	331.50B	204.00B	93.50B	114.75B	72.25B	481.95

Source: All figures in INR. Synthetic local fixture.

Balance sheet

Period	Total assets	Cash	Total debt	Equity	Net debt
2025	722.50B	127.50B	102.00B	467.50B	-25.50B
2024	637.50B	102.00B	85.00B	425.00B	-17.00B
2023	578.00B	85.00B	76.50B	386.75B	-8.50B
2022	510.00B	72.25B	76.50B	331.50B	4.25B

Source: All figures in INR. Synthetic local fixture.

Cash-flow statement

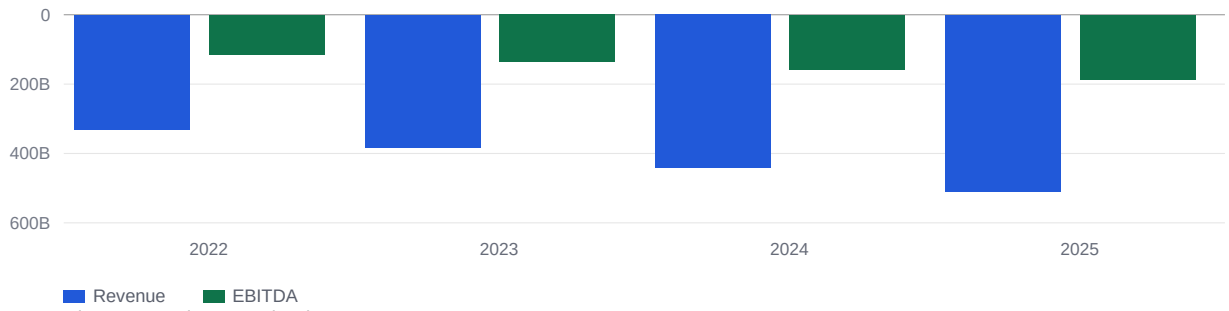
Period	Operating CF	Capex	Free cash flow
2025	153.00B	-42.50B	110.50B
2024	127.50B	-34.00B	93.50B
2023	110.50B	-29.75B	80.75B
2022	93.50B	-25.50B	68.00B

Source: All figures in INR. Synthetic local fixture.

Key ratios

Period	Rev growth	Gross margin	Op margin	Net margin	ROIC	FCF
2025	15.4%	63.3%	30.0%	23.3%	27.7%	110.50B
2024	15.6%	62.5%	28.8%	22.5%	25.0%	93.50B
2023	15.4%	62.2%	28.9%	22.4%	23.4%	80.75B
2022	-	61.5%	28.2%	21.8%	22.3%	68.00B

Source: Derived from reported statements. Nulls preserved where data is missing.



Source: Reported revenue and EBITDA (INR).

Base-Case Forecast

Year	Revenue	EBITDA	EBIT	Net income	FCF	Shares
Y2026	588.75B	215.88B	176.63B	137.90B	125.46B	12.75B
Y2027	679.66B	249.21B	203.90B	159.72B	145.36B	12.75B
Y2028	784.62B	287.69B	235.38B	184.91B	168.33B	12.75B
Y2029	905.77B	332.12B	271.73B	213.99B	194.85B	12.75B
Y2030	1.05T	383.40B	313.69B	247.55B	225.46B	12.75B

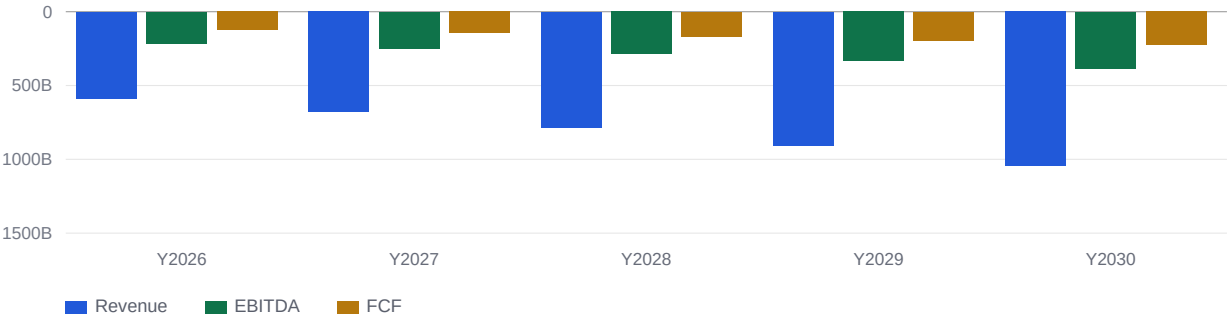
Source: Forecast figures in INR. Deterministic model output.

Revenue CAGR	15.4%
Final revenue	1.05T INR
Final EBITDA	383.40B INR
Final free cash flow	225.46B INR
Balance-sheet identity	Balanced in every year

Forecast drivers (documented assumptions)

Revenue Growth	15.44%
Gross Margin	63.33%
Opex Ratio	33.33%
Tax Rate	20.00%
Da Pct	6.67%
Capex Pct	8.33%
Nwc Pct	3.33%
Interest Rate	4.17%
Dividend Payout	30.00%
Excess Cash Sweep	0.00%
Share Dilution	0.00%

9 of 11 drivers are derived from reported history; the remainder are documented engine defaults or user inputs (per-driver sources in the provenance table).



Source: Forecast revenue, EBITDA and free cash flow (INR).

Valuation - Discounted Cash Flow

Valuation view

The DCF discounts 5 annual free cash flows at 8.50%. Present value of explicit cash flows is 661.44B INR; present value of the terminal value is 2.56T INR. Enterprise value of 3.22T INR bridges to equity value of 3.25T INR via net cash of 25.50B INR, implying 21,656.52 INR per share. That implies an EV/EBITDA multiple of 8.4x on final-year EBITDA of 383.40B INR. The WACC-versus-terminal-growth grid brackets a value-per-share range of 14,625.58-42,694.77; sensitivity analysis maps the model's response to assumptions - it does not remove uncertainty. Reverse DCF: at the current market price of 8,032.50 INR the implied WACC is 17.82% versus our 8.50% - the market demands a higher return than our stated cost of capital. Implied exit multiple on final-year EBITDA: 8.4x.

WACC build-up (CAPM, documented defaults)

Risk-free rate	4.00%
Equity beta	1.00
Market risk premium	5.50%
Cost of equity (Rf + beta x MRP)	9.50%
Pre-tax cost of debt	6.00%
Tax rate	25.00%
After-tax cost of debt	4.50%
Equity / debt weight	70% / 30%
WACC applied	8.50%

Free cash flows and discounting

Year	Free cash flow	Discount factor	Present value
Y1	125.46B	0.9217	115.63B
Y2	145.36B	0.8495	123.48B
Y3	168.33B	0.7829	131.79B
Y4	194.85B	0.7216	140.60B
Y5	225.46B	0.6650	149.94B

Enterprise-to-equity bridge

PV of explicit cash flows	661.44B INR
PV of terminal value	2.56T INR
Terminal value share of EV	79.5%
Enterprise value	3.22T INR
Net cash	25.50B INR
Equity value	3.25T INR
Shares outstanding	150.00M
Value per share	21,656.52 INR
Implied exit multiple on final EBITDA	8.4x
Implied upside vs last price	169.6%

Sensitivity - WACC vs terminal growth

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	27,116.28	29,712.69	32,958.21	37,131.02	42,694.77
7.5%	22,421.25	24,126.58	26,172.97	28,674.12	31,800.55
8.5%	19,074.16	20,266.02	21,656.52	23,299.84	25,271.83
9.5%	16,569.26	17,440.52	18,436.24	19,585.15	20,925.55
10.5%	14,625.58	15,284.51	16,025.82	16,865.97	17,826.13

Source: Value per share (INR). Sensitivity maps model response to assumptions; it does not remove uncertainty.

Reverse DCF at the current market price

At a market price of 8,032.50 INR the implied WACC is 17.82%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

Scenario analysis

Bull: Bull case: target of 24,905.00 INR (+15% versus base) if revenue growth runs ahead of the 15.4% path and the terminal margin holds at 36.7%.

Base: Base case: target of 21,656.52 INR on 15.4% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 18,408.05 INR (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

Risks & Catalysts

Strengths

- Revenue compounding of 15.4% CAGR on the base case, with EBITDA margin at 36.7% by the final forecast year.
- Cash generation: 58.8% of final-year EBITDA converts to free cash flow (225.46B INR), self-funding reinvestment or capital returns.
- Net cash of 25.50B INR provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.
- Return on invested capital of 27.7% in 2025 indicates value-accretive reinvestment at the reported level.
- Revenue scale of 510.00B INR provides operating leverage and absorbs fixed costs through the cycle.
- Gross margin of 63.3% leaves room to absorb input-cost inflation without hitting operating profit.
- Return on equity of 25.5% indicates efficient use of shareholder capital.
- Earnings are positive and compounding alongside revenue growth, with diluted EPS of 793.05 INR.
- Double-digit modelled revenue growth of 15.4% outpaces a low-single-digit nominal GDP benchmark.

Risks

Terminal-value dependence

Exposure: The present value of the terminal value is 79.5% of enterprise value.

Impact: Small changes to the discount rate or long-run growth swing the target materially.

Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid

Scenario: Value per share across the sensitivity grid ranges 14,625.58-42,694.77.

Basis: fact

Growth execution

Exposure: The base case assumes 15.4% revenue CAGR.

Impact: A deceleration compresses both the cash-flow base and the applied multiple.

Monitoring metric: Reported revenue growth versus the forecast path

Scenario: Bear case assumes growth runs below plan (see scenarios).

Basis: inference

Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.

Impact: No conclusion in this report should be relied upon as a description of any real company.

Monitoring metric: Data-status label on the cover of this report

Basis: fact

Missing sector-specific evidence

Exposure: Commodity price exposure, Reserves / production volumes, Project/asset pipeline are not available in the dataset.

Impact: Sector-specific failure modes cannot be quantified.

Monitoring metric: Disclosure of unavailable metrics in the industry section

Basis: fact

Wide valuation dispersion

Exposure: The sensitivity grid spans 129.6% of the base-case value per share.

Impact: Small assumption changes move the target by a material margin.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Basis: fact

Catalysts

Revenue upside versus plan

Event: Reported revenue tracking above the 15.4% base-case path
Timing: Next reported annual period; exact timing is unknown
Grounding: Each point of revenue upside converts at the 36.7% terminal-year EBITDA margin.

Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions
Timing: Timing unknown; requires board action
Grounding: Net cash of 25.50B INR on the latest balance sheet would fund returns without new leverage.

Multiple re-rating

Event: Market multiple moving toward the model-implied 8.4x exit level
Timing: Timing unknown
Grounding: The DCF embeds a 8.4x exit multiple on final-year EBITDA of 383.40B INR.

Operating leverage

Event: Operating margin expands as fixed costs are absorbed by a larger revenue base
Timing: Progressive across the forecast horizon
Grounding: The model holds the opex ratio at 33.3% while revenue compounds, so incremental revenue largely drops to operating profit.

Model Quality & Integrity Review

> **Conviction: LOW**
> Conviction is constrained by synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage spans 2022-2025 (4 annual periods). Sector metrics unavailable: Commodity price exposure, Reserves / production volumes, Project/asset pipeline. Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions (9 derived from reported history): revenue growth 15.44%; gross margin 63.33%; opex ratio 33.33%; tax rate 20.00%; da pct 6.67%; capex pct 8.33%. Drivers derived from reported history: revenue growth, gross margin, opex ratio, tax rate; remaining drivers are documented engine defaults or user inputs.

Automated checks

Balance-sheet identity	Pass
DCF produced a value	Yes
Valuation warnings	0
Integrity errors (blocking)	0
Integrity warnings	1

Validation detail

[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic sample data).

Sources & Methodology

Data sources (numbered)

#	Metric	Value	Period	Status	Source
1	Revenue	510,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
2	Revenue growth	0.15	2025-12-31	derived	APEX local deterministic fix
3	Gross margin	0.63	2025-12-31	derived	APEX local deterministic fix
4	Operating margin	0.3	2025-12-31	derived	APEX local deterministic fix
5	Net income	119,000,000,000	2025-12-31	synthetic	APEX local deterministic fix
6	EBITDA	187,000,000,000	2025-12-31	synthetic	APEX local deterministic fix

#	Metric	Value	Period	Status	Source
7	Free cash flow	110,500,000,000	2025-12-31	synthetic	APEX local deterministic fix
8	Net debt	-25,500,000,000	2025-12-31	derived	APEX local deterministic fix
9	Diluted EPS	793.05	2025-12-31	synthetic	APEX local deterministic fix
10	Shares outstanding	150,000,000	2025-12-31	synthetic	APEX local deterministic fix
11	Assumption: revenue growth	0.154416	forecast horizon	derived	Derived from reported revenu
12	Assumption: gross margin	0.633333	forecast horizon	derived	Derived from reported gross
13	Assumption: opex ratio	0.333333	forecast horizon	derived	Derived from reported operat
14	Assumption: tax rate	0.2	forecast horizon	derived	Derived from reported tax ex
15	Assumption: da pct	0.0666667	forecast horizon	derived	Derived from reported deprec
16	Assumption: capex pct	0.0833333	forecast horizon	derived	Derived from reported capex
17	Assumption: nwc pct	0.0333333	forecast horizon	derived	Derived from reported (curre
18	Assumption: interest rate	0.0416667	forecast horizon	derived	Derived from reported intere
19	Assumption: dividend payout	0.3	forecast horizon	assumption	Engine default (documented a
20	Assumption: excess cash sweep	0	forecast horizon	assumption	Engine default (documented a
21	Assumption: share dilution	0	forecast horizon	derived	Derived from reported share
22	DCF value per share	21,656.52	valuation date	derived	APEX local deterministic fix
23	WACC	0.09	valuation date	assumption	APEX local deterministic fix
24	Enterprise value	3,222,978,599,904.78	valuation date	derived	APEX local deterministic fix

Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation: unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

Peer set — None supplied (comparables omitted)

Conclusion

On the evidence supplied we are constructive. The thesis would be strengthened by revenue tracking at or above 15.4%, cash conversion holding near 58.8% of EBITDA, ROIC sustained above 27.7%, healthy gross margins, a net-cash balance sheet; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic sample data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

Investment thesis

Reliance Industries Limited offers Energy exposure (Diversified Oil Gas & Chemicals) with a 15.4% modelled revenue CAGR, a terminal-year EBITDA margin of 36.7% and 58.8% EBITDA-to-FCF conversion on the base case. Revenue scales from 510.00B INR to 1.05T INR across the forecast horizon, while the mechanical rating of BUY reflects 169.6% upside versus the 8,032.50 INR last close. The balance sheet carries 25.50B INR of net cash (0.14x last-reported EBITDA). The conviction basis is described below.

Thesis drivers

- Growth: revenue CAGR of 15.4% from 510.00B INR to 1.05T INR across the forecast horizon.
- Margins: EBITDA margin of 36.7% rising to 36.7%, consistent with operating leverage on the modelled cost base.
- Cash conversion: final-year free cash flow of 225.46B INR, 58.8% of EBITDA.
- Balance sheet: net cash of 25.50B INR at 0.14x EBITDA limits financial risk premium.
- Valuation: DCF value of 21,656.52 INR per share versus a 8,032.50 INR market price (169.6% upside).

Disclaimer

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